AIESEC INDIA COMPENDIUM

Sub-document

Finance Policy

The Finance Policy sub-document covers the financial regulations that AIESEC in India follows including pricing, budgeting, reporting, auditing and overall financial management

1. Financial Regulations

1.1. Financial Policy refers to policies related to the regulation, supervision, and oversight of the financial and payment systems of AIESEC in India and all its entities.

1.2. The revenue of the society shall consist of membership fees, fund raising, sponsorships, advertisements, traineeship fees, project income, bank interest and other sources the society may decide.

1.3. The society's financial responsibility shall be limited to assets and members shall not be liable personally.

1.4. The use of funds and the bookkeeping of the MC and LCs shall be governed by the society's financial regulations. The use of these funds may be amended by a two-thirds majority vote at a legislative meeting. Bookkeeping should always adhere to the regulations of the Society's Act and/or recommendations of the National Auditor and/or the law of the land.

1.5. Every year the Member Committee shall submit audited accounts of the closed financial year for the approval of the legislative meeting immediately.

1.6. There is no minimum qualification for the post of LCVP F&L. All LCs must have the post of LCVP F&L on their EB and any LC not possessing an LCVP F&L for more than one month will forfeit voting rights for the next Legislative Meeting, which would however not affect the quorum of the meeting.

1.7. For discharge of LC EB at AGM being held before the 10th of February, audited accounts up to 31st January must be submitted to the National Accountant or through national audits by the 10th of February, failing which would result in a fine of INR 25,000.

1.8. At any point in the LC term, no member or LC of AIESEC in India is allowed to take an external loan in the name or purpose of AIESEC.

1.8.1 If found, the wrongdoer shall have to pay the Entity/ Member Committee the amount of money involved in the wrongdoing and be terminated from the organization.

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2. Internal Regulations

2.1. Transactions through bank:

2.1.1. The MC and LCs will function through one active current account each for all day-to-day operations and one active reserve account for use in 'dire circumstances' as defined in L_Reserve Policy of AIESEC in India national compendium.

2.1.2. The use of these funds through the bank account will be as per the Standard Chart of Accounts (SCOA) driven nationally to the network by the MCVP F&L.

2.1.3. All financial activities will be recorded following the accrual basis of accounting on the tools/accounting software on a monthly basis along with relevant proofs.

2.1.4. All MC and LC accounts are to be reconciled at the end of each month and required financial statements, as notified by MCVP F&L, are to be generated and stored for the same month.

2.2. Transactions through cash:

2.2.1. An entity can keep a maximum of INR 10,000 as cash in hand at any point of time.

2.2.2. An entity can make a cash transaction for a maximum of INR 10,000 at any point of time.

2.2.3. An entity can choose to keep and make transactions of more than the amounts mentioned in 2.2.1 and 2.2.2 after taking prior permission from MCVP F&L over email for any of the following reasons:

2.2.3.1. Local/national conference or events- in this case having a separate budget is mandatory and the same needs to be shared with the MCVP F&L/MCVP F while making the request.
Template for Local Conference Budget : Click Here
Template for Event Budget : Click Here

2.2.3.2. Entity meetings/bootcamps - in this case it is mandatory to have a separate budget if the engagement activity is of more than one day and the same needs to be shared while making the request.

2.2.4. If there exists a situation where a cash transaction is to be made and the same is not under the purview of 2.2.3, the entity can reach out to the MCVP F&L. The MCVP F&L, after analysing the situation, can choose to accept the request.

2.2.5. Every entity needs to have at least the following procedures as part of their local internal policies;

2.2.5.1. Reimbursement procedures

2.2.5.2. Mention of one of the EB member account as the sole account for all cash transactions (preferably Entity Head or LCVP F&L)

2.2.6. Every entity will track their cash flow on the designated tool/accounting software along with relevant proofs per clause 2.2.6 in S_ Finance Policy.

2.3. Entity to entity transactions:

2.3.1. LC's dues towards MC

2.3.1.1. All dues that are invoiced as reconciliation by the MC to all its entities on a quarterly basis are to be cleared as per the Member Financial Regulations. Not following the same may attract the status of the LC being changed to EiD as per clause 6.1 in G_Entity Membership. The same will be tracked on the Internal Liability Tracker which is updated and maintained by the MC from time to time. (live status)

2.3.1.2. All dues that are invoiced as MC-LC dues, which are payments made by MC on behalf of the LCs, need to be cleared before the next legislative conference. Not following the same may attract the status of LC being changed to MiA as per clause 5.1 in G_Entity Membership. The same will be tracked on the MC-LC Dues Tracker which is updated and maintained by the MC from time to time.

2.3.1.3. All dues that are invoiced as reserve contribution by the MC to all LCs (except EiDs at the time of invoice) will be treated as an MC-LC due and follow the regulations as per L_Reserve Policy.

2.3.2. MC's dues towards LC(s)

2.3.2.1. All MC dues towards the LCs will be adjusted on the Internal Liability Tracker at the time of the invoice for a quarter's reconciliation.

2.3.2.2. These dues will include, but are not limited to;

2.3.2.2.1. BD cross sales

2.3.2.2.2. Approval breaks

2.3.2.2.3. TDS

2.3.2.2.4. NEP

2.3.2.2.5. Any other source which is notified well in advance to Focus commission

2.3.3. LC's dues towards another LC(s)

2.3.3.1. All dues that are invoiced as LC split by the MBSC for a national conference are to be cleared before the next legislative conference. Not following the same may attract the status of LC being changed to MiA as per clause 5.1 in G_Entity Membership. The same will be tracked by the MBSC on the LC Split Tracker.

2.3.3.2. If in a case where two or more entities engage in a co-delivered engagement activity which includes monetary inflow, outflow and/or split, the MCVP F&L needs to be informed of the same at least 15 days before the commencement of the activity.

2.3.3.2.1. A MoU will then be signed between the Entity Heads and LCVPs F&L of the entity highlighting the reason for the need of an agreement, the timeline and split of all monetary gains and repercussions of any entity not following the agreement, with MCVP F&L's signature as witness.

2.3.3.2.2. Any further verbal confirmation or communication of any sorts will not be considered valid unless the same has been amended on the MoU in agreement with all entities involved in the presence of MCVP F&L.

2.3.3.3. No other transactions apart from the ones mentioned above are to occur between two or more entities.

2.3.4. If at any point of time, a LC holds dues past the payment deadline towards other LC(s) and MC, the payment on dues will follow this priority order;

2.3.4.1. LC-LC Dues

2.3.4.2. MC-LC Dues

2.3.4.3. Reconciliation

3. Members shall be responsible for contributing funds to AIESEC in India under the following categories:

3.1. The total amount to be paid by the LCs is determined from the budgeted expenses in the following manner:

3.1.1. Affiliation expense for Support Bodies & Administrative - 100% paid by LCs

3.1.2. Admin – 50% paid by the AIESEC in India MC and 50% by the LCs.

3.1.3. Investment– 50% paid by the AIESEC in India MC and 50% by the LCs.

3.1.4. National Services - 100% paid by the LCs.

3.2. Affiliation Recon for the LCs' will be divided for calculation in the following manner and will include the SU1 and SU2 data with the parent LC's data per relevant metric:

3.2.1. Ease of Living index - 20%

3.2.2. Revenue generated last year - 30%

3.2.3. Budgeted income for the current year - 25%

3.2.4. Membership size at the first month of the cycle - 25%

3.3. The affiliation recon will consider more than 9% contribution by one entity (inclusive of their expansion entities) to the overall affiliation recon amount charged for the quarter as the cap contribution. The excess percentage is then divided amongst the remaining LCs (except EiDs).

3.3.1 An SU3 is invoiced an amount of Rs.10,000 of affiliation fee for every quarter.

3.4. Performance Recon for the LCs will be divided for calculation in the following manner and will include the expansion(s) data with the parent LC's data per relevant metric:

3.4.1. Number of Exchanges in the last quarter

3.4.2. BD Income in the last quarter

3.4.3 For each quarter, an entity's contribution to the overall performance reconciliation shall be subject to both maximum and minimum caps. The maximum contribution cap is set at 15%, beyond which any excess percentage shall be equitably redistributed among all other entities. The minimum contribution cap is set at 2.5%; if an entity contributes less than this threshold, its contribution shall be adjusted upward accordingly, with corresponding adjustments made across all other entities to maintain overall balance.

3.5. The split between 3.3.1 and 3.3.2 will be based on the revenue split between exchange and BD in the last quarter.

3.6. For EiDs, average affiliation is calculated and the amount of excess of the average is divided equally amongst the rest of the LCs only if the entity is a Year Two or Year Three EiD.

3.7. General instructions;

3.7.1. Exchanges will be considered for oGX at Approval and for iCX at Realisation.

3.7.2. The recon is calculated and paid by the LCs quarter-wise, unless notified by the MCVP F&L 3 months in advance.

3.7.3. 40% of the recon amount will be paid in the first month, 30% in the second month and the remaining 30% in the third month from the time of the release of the recon sheet. In case, the LCs default payment on any of the monthly installments, the MC has the authority to directly transfer the funds from LC account for payment of Recon. Only when the bank balance of the LC is 2 times the recon amount for the LC, on discussions with VPF and Entity Head. The first recon instalment payment has to be made within the 20 days of the succeeding month.

3.7.4. AIESEC in M.A.H.E. shall provide bank statements by the 15th of every month for the determined time period,to which the income generated will be counted for the entity-unless otherwise notified by the entity in advance.

3.7.5. The performance considered here is revenue generated by both parent LC and expansion(s), comprising all exchanges (physical, semi-remote and VPP) and BD sub-ledgers (except fundraising) of the Chart of Accounts driven nationally.

3.7.6. In order for AIESEC in M.A.H.E. to process any dues, including but not limited to LC-LC Split, MC-LC Dues, Mandates, and Quarter Recon, a physical invoice must be sent to AIESEC in M.A.H.E. at least one month prior to the respective dues clearance deadline, as per the financial processing regulations of the university.

3.8. All LCs' need to have contracts signed on every page by the official signatory of the LC and these contracts need to be the contracts as prescribed by the MCVP F&L. Failing which, a mandate fine of INR 5,000 is levied and an additional fine of INR 2,000 per invalid contract. A contract is considered valid only if:

3.8.1. All pages of the contract are duly signed and stamped by the LCVP F&L/Entity Head of the AIESEC entity and the enabler/EP.

3.8.2. Latest contract template will be circulated by the MCVP F&L to the LCVPs F&L.

3.8.3. Every contract has a valid enforceable date.

3.8.4. The contract in use must be valid at the time of auditing or verification by the ECB.

3.8.5. In the case of a digital signature by the enabler/EP, email confirmation must be received by the enabler/EP for the signature addition consensually. Failure to possess such mail at any time of verification will result in the contract deemed invalid.

3.3 Entity in Debt Regulations -

3.3.1 The Finance Sub-committee Chair is responsible for assessing the liability of the Entity in Debt. FSC further reports to the national plenary on the current status and should propose a repayment/development plan.

3.3.2 The Entity in Debt should report, monthly, the progress on the Repayment plan to the FSC Chair and LC Coach as a part of the MSC Check.

3.3.3 Any payment made by the EiD to the MC will be in the order of current recon first, then followed by the outstanding debt from the repayment plan.

3.3.4 Entity needs to submit budget files 2 weeks in advance for Conferences/events execution to MCVP F. Entity cannot move ahead with the same without approval from MCVP F

3.3.5 TM & LnD/ Admin/ Other/ Financial/ Conferences/ International Conferences expenses are limited to 30% of the entity performance. The entity can seek an approval from the MCVP F if they wish to make expenses above the set limit.

3.3.6 Subsidies & discounts will be subject to approval from the MCVP F.

3.3.7 Implications of defaulting EiD regulations will be as per Clause 6.10 of G_Entity Membership

3.3.8 EiD Audits:

3.3.8.1. As a part of the EiD audits, every EiD is required to report to the MCVP F and the MSC in the format prescribed by the MCVP F.

3.4 Debt Management -

3.4.1 When the debt is more than 1.5 x entity's equity (or) INR 2,00,000, whichever is lower. The entity is then mandated to mobilize funds to clear the debt.

3.4.2 If this doesn't happen, the MC mobilizes funds on behalf of the entity and notifies the Focus of fund mobilization.

3.4.3 In case, the entity doesn't have enough funds to clear (current+reserve), expenses will be limited to 10% of entity performance instead of 30% for TM&LnD/Admin / Other / Financial/Conferences/International Conferences. The entity can seek an approval from the

MCVP F if they wish to make expenses above the set limit.
3.4.4 In the event of an EiD being disbanded, the total outstanding debt for the EiD can be cleared using the balance equity.
3.4.5 In case an EiD's reserves are sufficient to complete its debt clearance, the EiD would then continue to function as a MiA due to non-clearance of the reserve criteria.
3.4.6 In the case of the EiD reserves not sufficing the complete clearance of the entity's debt, the remainder of the amount after using the EiD's reserves and balance equity will be split by all LCs - except EiDs; over two quarters.

4. Pricing Structures

4.1. All LCs' will charge the following standard pricing:

Outgoing Exchange	Duration	Amount
oGV	All durations	₹18,000.00
oGTa & oGTe	Short Term	₹21,500.00
	Mid and Long term	₹25,000.00

Incoming Exchanges		Admin	Service (per week)	Accommodation
iGV	Client	₹3,000.00	-	₹8,000.00
	Exchange Participant	₹8,500.00	-	
iGTa	Less than 24 weeks	₹5,000.00	₹750.00	
	24 weeks and above	₹5,000.00	₹550.00	
iGTe	Less than 24 weeks	₹5,000.00	₹700.00	
	24 weeks and above	₹5,000.00	₹400.00	

4.1.1. For all products under Incoming Exchange (except iGV) and Other Initiatives, the above prices are considered as a minimum. A price above this amount can be charged by the entities and the same needs to be mentioned in the contract at the time of signing.

4.1.2. For iGV, the pricing for Clients is the minimum that can be charged by entities whereas the pricing for Exchange Participant is the maximum that can be charged by entities.

4.1.3. The above pricing for Outgoing Exchange must be followed.

4.1.4. All products that are subject to discount/subsidy campaigns and/or iXP campaigns must be approved by the MCVP F&L in the prescribed format mentioned by the MCVP F&L and/or any other MCVP. Failing to adhere to the pricing for any non-reported products will result in a mandate fine of INR 5,000 and INR 2,000 for every subsequent violation.

4.2. For all pilot programs/products, the pricing structures will be decided and communicated by the MC to the network over an official internal communication channel.

5. AIESEC in India Financial Management

5.1. The financial regulations rule the employment of the funds and fees of AIESEC in India.

5.2. The MCP & MCVP F&L are responsible for the funds and fees of the MC within the limits of the budget and the decisions taken by AIESEC in India. The MCP, along with the MCVP F&L, are also responsible for daily expenditure incurred by the MC.

5.3. The MCVP F&L shall be responsible for maintaining complete records of financial transactions of the MC.

5.4. The financial year of AIESEC in India and all LCs shall be from 1st April to 31st March of the following year.

6. AIESEC in India Budget

6.1. The selected MCVP F&L, in the presence of MCP elect, must present budget information for the following MC term to the Governing Body of AIESEC in India at JNC before the start of the conference (day 0) and voted upon at the subsequent legislative meeting.

6.2. The budget is the basis for the administration of all income and expenditure and for the audit.

6.3. The Governing Body members may discuss and ratify the budget taking into consideration the detailed explanation and recommendations given by the selected MCVP F&L and MCP elect.

6.4. Ratification of the budget would require 2/3 majority of all Full Member LCs.

6.5. The budget will be reviewed at the subsequent NLS legislative meeting and will be re-ratified at the same if required.

7. LC Budgeting

7.1. LC Budget Ratification & Discharge:

7.1.1. The LC budget ratification process will be initiated by the MCVP F&L before the start of the new LC term. The LCVPs F&L need to follow the timeline of the process prescribed by the MCVP F&L and create a budget in synergy with the EBs in the LC's prescribed tool.

7.1.2. The proposed LC budget at the AGM can not be more than a 40% increase in the income and expenses of the previous LC term's discharge budget.

7.1.3. The above is to be checked by MSC at the AGM check - failing which the budget must be re-ratified with the correct figures.

7.1.4. A LC budget can not be discharged if the executed budget is not a minimum of 60% for Income. This is to be checked at the time of the AGM Check by the MSC.

7.2. LC Budget Re-ratification: For the process of amending the figures on the ratified budget sheets from AGM, the LCs must follow the process of re-ratification as mentioned below:

7.2.1. In the event of such re-ratification, the concerned LC must raise a request to the MCVP F&L via e-mail in the format prescribed by the MCVP F&L or a minimum of 21 Days in advance to the re-ratification forum in the LC.

7.2.2. Post the approval from the MCVP F&L, the concerned LC can begin to make edits on the budget sheet in the process and format prescribed by the MCVP F&L. The edits can be made only to the months remaining in the LC term.

7.2.3. Post the changes, the respective LC must seek approval from the MCVP F&L on the proposed changes with suitable and valid explanations via e-mail or any other format prescribed by the MCVP F&L.

7.2.4. Post this stage of approval, a formal forum must be called for with the voting members for the facilitation of re-ratification.

7.2.5. The entire forum must be minuted in detail and submitted to the MCVP F&L post the meeting or forum.

7.2.6. The forum must contain, and is not limited to, explanation of the proposed changes and their consequences along with comparative analysis from the existing budget.

7.2.7. The changes made in the budget must be passed by a simple majority of the voting members of the respective LC.

7.2.8. The proposed LC budget at re-ratification can not be more than 20% decrease in the income and expenses of the current Semester 2 LC Budget.

8. Book-keeping Procedure

8.1. The accounts of AIESEC in India and all LCs are kept under the accrual and actual, double entry system of book-keeping.

8.2. Fixed assets in the financial statements must be broken down under cost, accumulated depreciation and net value.

8.3. All reimbursement in the association shall be done on the basis of the Entity Internal Policies. Every claim sheet must have proper documentation for proof of its validity.

8.4. All money received must have a receipt and all payments made must have a voucher.

8.5. All entities follow the Standard Chart of Accounts and the internal guide (Change Management Booklet) as prescribed by the MC.

9. Reporting

9.1. By the Member Committee

9.1.1. AIESEC in India shall present an up-to-date financial report at JNC and NLS each year.

9.1.2. At JNC, the balance sheet and the income and expense statements for the MC year ended shall be presented to the AIESEC in India Governing Body for discharge.

9.1.3. Financial reporting by the MC to the national plenary is also subject to clauses in O_MC Service Model.

9.2. By the Entity

9.2.1. The following list of data is the minimum that needs to be submitted by all LCs to MC as part of finance audit in format prescribed by the MC:

9.2.1.1. Updated Budget

9.2.1.2. Updated Bank Flow and Cash Flow trackers

9.2.1.3. Updated GFB Survey

9.2.1.4. Monthly Reporting Form

9.2.2. Failure to report;

9.2.2.1 If a Entity defaults monthly audits, two times consecutively, the FSC is to launch an inquiry into the matter and conduct mandatory meetings with the LCVP F&L and Entity Head.

9.2.2.2 In order for an entity to pass a monthly audit, all preceding audits need to be cleared.

10. External Audit

10.1. AIESEC in India must have its books formally audited annually by a qualified external auditor.

10.2. Every LC has to pay the amount allocated to the LC for conducting external audits in coordination with the MC for the time period: 1st April to 31st March.

10.3. The external audit should be held before JNC and presented there for discharge subject to the external auditing process.

11. Mandate Fines:

11.1. All Mandate fines are worth INR 5,000 unless otherwise specified.

11.2. Deviation from any compendium clause shall be liable for a standard mandate fine unless otherwise mentioned.

11.3. If the MC fails to present an audited financial statement on the mandated date, a fine of ₹20000/- can be levied on it.

11.4. All mandated fines need to be cleared before the membership check is done at NLS.

11.5. For multiple violations of a single clause during a single legislative meeting, every violation post the first violation an amount of INR 2,000 is charged per violation.

11.6. A fine can only be charged at a LM, the fines can only be between the current and the previous LM.

11.7. In case of non-fulfilment of a non-recurring mandate, a fine of ₹20000/-shall be levied except when otherwise decided.

11.8. The period of recurrence of a recurring mandate will be specified subject to a minimum of 10 days. In case of non-AIESEC fulfilment, a fine of ₹20000 will be levied for the first break, and ₹20000 will be levied for each subsequent break, until the mandate is fulfilled.

11.9. Mandate fines will be collected in the reserve account of AIESEC in India and allocated towards LC-level investments. A detailed report on the allocation and utilization of these funds will be presented at each NLM Conference.